125 per cent for commercial banks and NBFCs, respectively. The credit card outstanding of banks had shot up by nearly 30 per cent on a year-on-year basis to Rs 2.17 lakh crore as of September 2023. According to an India Ratings report in August, NBFCs have increased the proportion of collateral-free loans in their portfolio in search of higher yields to offset the impact of higher borrowing costs. Loans secured by gold and gold jewellery have naturally been excluded from the ambit of this hike.

The RBI has also increased the risk weights on banks' exposures to NBFCs by 25 percentage points in all cases where the existing risk weight as per the external rating of NBFCs is below 100 per cent. Exclusions apply to loans to housing finance companies and NBFCs classified as a priority sector. The RBI has mandated that banks should have board-approved internal limits for unsecured consumer credit exposure, which shall be monitored on an ongoing basis by the risk management committee. All top-up loans against inherently depreciating movable assets, too, shall be treated as unsecured loans.

BANKS MAY FEEL THE IMPACT TO VARYING DEGREES, BUT RETAIL LOANS ARE LIKELY TO BECOME COSTLIER FOR BORROWERS

The move, entailing higher costs for both banks and non-banking lenders, could lead to higher lending rates, making loans costlier for retail borrowers. "Higher risk weights shall translate to higher capital consumption, which in turn will likely impact the respective segment's growth adversely," says a note from ICICI Securities. The directive is likely to impact some banks more than others. Per the note, unsecured personal loans stood at 7-10 per cent of the overall loans for the State Bank of India, HDFC Bank and Axis Bank, but appeared large for IDFC First Bank (at around 17 per cent). Credit card loans were large for RBL (24 per cent of the overall loans), but reasonable for Axis Bank, HDFC Bank, Kotak Mahindra Bank and IndusInd Bank at 3-4 per cent, and around 2.4 per cent for IDFC First Bank.

The Indian consumer had been lapping up loan offerings by banks like never before to drive their ambition for better products, homes, children's education and other services. As a result of this, RBI data shows personal loans grew by 30.8 per cent in August compared to 19.4 per cent a year ago. Total credit to the segment stood at Rs 47.7 lakh crore in August, as against Rs 36.47 lakh crore a year earlier. Retail loans—all described as personal loans by the RBI—consist of housing loans, advances against fixed deposits, credit card outstandings, vehicle loans, education loans, loans against gold jewellery and other personal loans. "Banks are trying to tap each and every source to improve business, and would be prone to taking risks," says Madan Sabnavis, chief economist with Bank of Baroda. "There is a tendency for people to live beyond their means: this consumption is done through borrowing. It may not be the right thing in the long run."

In the last couple of years, year-on-year growth in retail credit has been close to 30 per cent in most institutions, say media reports. On an average, unsecured retail loan growth has been 23 per cent. This is significantly more than the rest of the credit growth, which is 12-14 per cent. Just days before the announcement of the latest norms, the RBI had cautioned banks and NBFCs to tighten their internal prudential measures and grow their portfolio sensibly. The central bank had been cautioning banks about their rising unsecured loan portfolio, say reports, although only recently did it voice its concerns publicly about the sharp growth in personal loans. ■

RBI REINS IN LOAN OVERDRIVE

- The risk weights for consumer credit exposure of commercial banks and NBFCs, including personal loans, increased by 25 percentage points to 125 per cent
- The risk weights on credit card receivables raised by 25 percentage points to 150 per cent and 125 per cent for commercial banks and NBFCs, respectively
- The risk weights on banks' exposures to NBFCs up by 25 percentage points in all cases where the existing risk weight as per external rating of NBFCs is below 100 per cent
- Banks should have board-approved internal limits for unsecured consumer credit exposure, which shall be monitored by the risk management committee
- All top-up loans against movable assets which are inherently depreciating in nature shall be treated as unsecured loans

THE PRIME CONCERNS

- Personal loans grew by 30.8 per cent in August compared to 19.4 per cent a year ago
- Credit card outstanding of banks had shot up by nearly 30 per cent on a year-on-year basis to Rs 2.17 lakh crore as of September 2023
- On an average, growth in unsecured retail loans has been 23 per cent in the past two years